

accommodating. (Velazquez Decl., Ex. C.) The email suggests that an objections-only response was made as a consequence thereof. (*Ibid.*) Plaintiff then suggested that meaningful responses were expected by April 3, 2026. These motions were filed on May 19, 2026. The court finds no circumstances that would render the imposition of sanctions as unjust, and further finds that the delay was the result of counsel's actions.

Defendants submit an hourly rate of \$190, which is approved. Sanctions are imposed in the total amount sought of \$2,280 in favor of defendants Planet Vegan, LLC and Michael McElroy and against plaintiff Joe Ellis and his counsel of record, joint and severally.

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

Tentative Ruling

Issued By: SMC **on** August 12, 2026.
(Judge's initials) (Date)

(48)

Tentative Ruling

Re: ***Wilfley Enterprises, Inc. v. Joy***
Superior Court Case No. 23CECG02867

Hearing Date: August 13, 2026 (Dept. 403)

Motion: By Defendant to Reclassify Case

Tentative Ruling:

To grant defendant Melva Zimmerman Joy's motion and reclassify the case as a limited civil action. (Code Civ. Proc., § 403.040, subd. (b).) No reclassification fee is required. (Code Civ. Proc., § 403.040, subd. (c)(2).)

Explanation:

Code of Civil Procedure section 403.040, subdivision (b) allows for a defendant to file a motion for reclassification after the time to respond to the complaint, in which case the court shall grant the motion if (1) the case is incorrectly classified and (2) the defendant shows good cause for not seeking reclassification earlier. (Code Civ. Proc., § 403.040, subd. (b).)

A motion to reclassify an unlimited civil case as a limited civil case may be granted only if the court determines that plaintiff's claim is such that a recovery above the minimum required amount could not be obtained or is virtually unobtainable. (See *Walker v. Superior Court* (1991) 53 Cal.3d 257, 269.) Actions are designated as limited civil cases where the amount in controversy is \$35,000 or less. (Code Civ. Proc., § 86, subd. (a)(1).) The amount in controversy is the amount of the demand, or the recovery sought, in the action exclusive of attorneys' fees, interest, and costs. (*Id.*, § 85, subd. (a).)

Here, the case is incorrectly classified as a civil unlimited case. The operative Complaint prays for relief in the amount of \$1,238.00, which is less than the minimum amount to be classified as an unlimited civil case. Plaintiff Wilfley Enterprises, Inc. ("Plaintiff") argues in opposition that the damages may exceed \$35,000 at the time a judgment is reached due to the accrual of attorney's fees and other costs. This argument is unavailing, as attorney's fees and costs may not be included in the amount in controversy in determining the classification of an action. (Code Civ. Proc., § 85, subd. (a).) Plaintiff has not shown how the alleged damages would increase from \$1,238.00 to more than \$35,000 exclusive of interest, attorney's fees, and costs. The instant case involves a breach of contract for services rendered, with alleged damages as a sum certain. Thus, this case may be classified as a limited civil case because the minimum required amount for a civil unlimited case is virtually unobtainable.

In the present case, Melva Zimmerman Joy ("Defendant") must show good cause for the delay in filing the instant motion for reclassification. (Code Civ. Proc., § 403.040, subd. (b).) Defendant's explanation for why she had not brought the motion until about

ten months after it was due was that the parties were engaged in settlement negotiations. Ultimately, settlement had not been reached, and the instant motion was filed. In opposition, Plaintiff argues that the ongoing settlement negotiations between the parties should not be considered good cause for Defendant's late filing. Plaintiff declares that Defendant's settlement offers were not in good faith because the amount only satisfied the requested damages and did not satisfy Plaintiff's attorney's fees and costs. Defendant has demonstrated good cause such that the motion for reclassification may be granted.

Based on the above, the court finds that the Complaint facially indicates an amount for below \$35,000 and is therefore improperly classified. The court further finds that Defendant demonstrates good cause for delay due to prior settlement efforts. The motion is granted. A reclassification fee is not required. (Code Civ. Proc., § 403.040, subd. (c)(2).)

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

Tentative Ruling

Issued By: SMC **on** August 12, 2026.
(Judge's initials) (Date)